

Solar Portfolio Audit

Puerto Rico Market

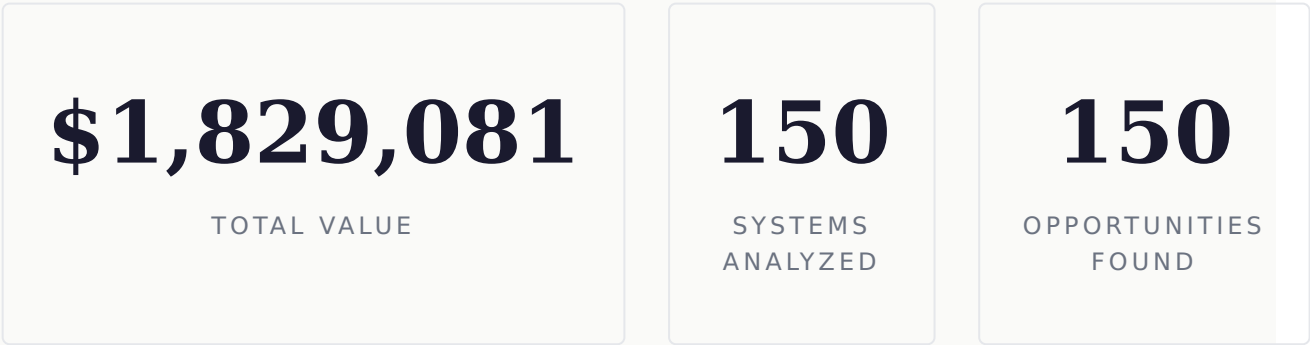
Test Company

May 2026

C O N F I D E N T I A L

Executive Summary

This portfolio has significant untapped potential. Battery Upgrade opportunities alone represent \$1,829,081 in recoverable revenue.



Key Findings

- 85% of systems lack battery storage - \$1,772,668 in recoverable peak charges
- 22 systems without active O&M contract - \$56,413 in avoidable repair risk

Key Risks

- LUMA Energy rate changes expected - GSS peak rate may increase 8-12%
- 22 systems without O&M contract face \$56,413 in unplanned repair exposure

BATTERY UPGRADE

Nave Industrial Torrijos

\$80,398

VALUE

6.7

yrs

PAYBACK

35%

CLOSE PROB

The Opportunity

Nave Industrial Torrijos operates a 380 kWp solar system without battery storage. Under LUMA's standard tariff, this creates \$22,572/yr in avoidable peak demand charges. Adding a 456 kWh LFP battery system eliminates these charges and provides backup power during grid outages.

Current vs. Proposed

CURRENT	PROPOSED
No battery storage	456 kWh LFP battery
Exporting excess production	Stored energy for peak and outage coverage

Incentive Stack

Gross installed cost	\$131,800
Federal ITC	\$39,540
IVU/local savings	\$15,157
Estimated net cost	\$131,800

Key Metrics

Battery	76,800.0
Maintenance	34,200.0
Inverter	0.0
Expansion	200.0
Ev Charger	20,000.0
Warranty	600.0
Base Value	\$131,800
Confidence	0.6

LUMA Energy rate changes expected. Current GSS peak rate may increase 8-12%.

Financial Summary

Gross investment	\$131,800
Net cost after incentives	\$131,800
Annual savings/revenue	\$22,572
Payback	6.7 yrs

Sales Talking Points

- * Your system generates \$22,572/yr in energy you're not storing
- * Federal ITC covers 30% - net cost is \$131,800, not \$131,800
- * CBES program has limited application slots available

Opportunity Matrix

Prioritized opportunities by financial impact and ease of close.



Top Opportunities

SYSTEM	OPPORTUNITY	CLOSE PROB.	VALUE
Nave Industrial Torrijos	Battery Upgrade	35%	\$80,398
Fábrica Plásticos Monfort	Battery Upgrade	35%	\$76,738
Polígono Industrial Sureste	Battery Upgrade	35%	\$67,954
Nave Logística Petrosa	Battery Upgrade	35%	\$51,362
Frigorífico Cooperativa Agra	Battery Upgrade	35%	\$45,872

O&M CONTRACT

Servicios Jurídicos Plus

\$6,360

VALUE

0.0

yrs

PAYBACK

20%

CLOSE PROB

The Opportunity

Servicios Jurídicos Plus has no active maintenance contract. Without preventive care, tropical conditions accelerate degradation and increase unplanned repair costs. An O&M contract provides 95% production guarantee and 24-hour emergency response.

Key Metrics

Battery	0.0
Maintenance	6,507.0
Inverter	7,953.0
Expansion	200.0
Ev Charger	4,615.0
Warranty	600.0
Base Value	\$19,875
Confidence	0.3

Average unplanned repair cost in PR is \$4,200 - 3x the annual O&M contract cost.

Financial Summary

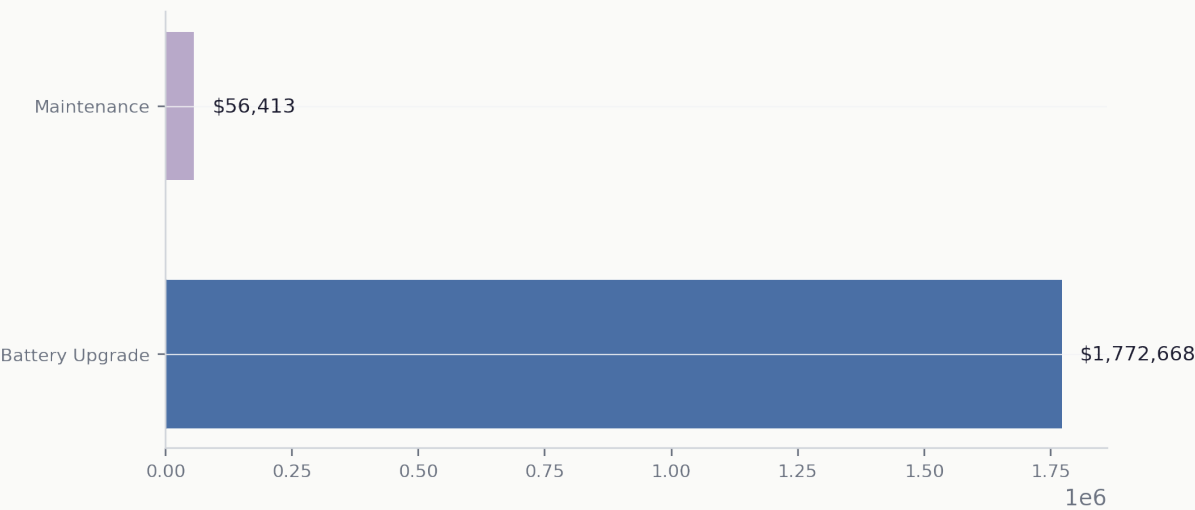
Gross investment	\$19,875
Net cost after incentives	\$19,875
Annual savings/revenue	\$0
Payback	0.0 yrs

Sales Talking Points

- * A single inverter failure costs more than 2 years of O&M coverage
- * 95% production guarantee - we pay you if performance drops
- * Preventive maintenance extends system life by 3-5 years in tropical climate

Financial Recovery

Portfolio-level value identified across opportunity categories.



Investment Summary

Total gross investment	\$3,277,332
Total incentives	\$0
Net investment	\$3,277,332
Portfolio ROI	14%
Blended payback	7.2 yrs

Value by Type

OPPORTUNITY TYPE	VALUE
Battery Upgrade	\$1,772,668
O&M Contract	\$56,413

Recommended Next Actions

THIS WEEK

- 1. Contact Nave Industrial Torrijos re: Battery Upgrade (\$80,398 value, 35% close probability)

NEXT 30 DAYS

- 3. Prepare proposals for top 5 systems identified
- 4. Submit CBES program applications for eligible systems

NEXT 90 DAYS

- 6. Complete tropical degradation assessment for 135 systems > 3 years old

Estimated Value by Action Window

This week	\$157,136
Next 30 days	\$322,324
Next 90 days	\$1,829,081

Methodology & Assumptions

Data Sources

- LUMA Energy tariff schedules
- Puerto Rico Energy Bureau regulations
- Federal ITC guidelines (IRA 2022)
- NREL PV degradation models (tropical)
- CBES/VPP program specifications
- OIG Federal Audit - 57% system deficiency rate
- IEC 62804 - PID testing standards

Financial Assumptions

Discount Rate	8%
Itc Rate	30%
Degradation Y1	5.5% (tropical adjusted)
Degradation Subsequent	1.2%/yr
Battery Cost	\$400/kWh (LFP)
Electricity Escalation	3.5%/yr
Itc Window	Through 2032 (potential phase-down)

Glossary

ITC	Investment Tax Credit (Federal)
LUMA	LUMA Energy (grid operator, PR)
CBES	Critical Battery Energy Storage
GSS	General Service Schedule (LUMA)
GSP	General Service Peak (LUMA)
IVU	Impuesto sobre Ventas y Uso
PID	Potential Induced Degradation
VPP	Virtual Power Plant

NEVI	National Electric Vehicle Infrastructure Program
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LFP	Lithium Iron Phosphate
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